

DECODED EXPLAINED

18th August, 2026

Gen Z's Buy-Now, Pay-Later Habit Fuelling Unsecured Loans

Gen Z's buy-now, pay-later habit fuelling unsecured loans, worrying regulator

Aanchal Magazine
New Delhi, August 16

TWO MUMBAI-BASED teenage girls travelled with their mother to Busan, South Korea, to attend a concert of Korean boy band BTS in June, financing much of their spending through a credit card.

A young couple travelled to Thailand for a vacation last year, spent well beyond their budget on credit cards, and have since then resorted to rotating money through third-party vendors to create artificial cash flow, according to a personal finance post on Reddit warning about funding small luxuries with debt.

While India's household debt has surged in recent years, financial sector regulators are particularly concerned about the composition of that debt. Non-housing retail loans — largely used for consumption — now account for more than half of household borrowings, and have grown faster than housing, agriculture and business loans, a trend flagged in internal discussions among policymakers.

As of March 2026, non-housing retail loans — primarily the consumption segment — constituted 58.4% of households' total borrowings, up from 54.9% of total household debt in March 2025. Average outstanding debt per borrower rose to Rs 4.78 lakh as of March-end 2025, from Rs 3.41 lakh as of March-end 2018, according to Ministry of Finance data. The sharpest increases have come in some personal borrowing categories. Outstanding loans against gold jewellery jumped to Rs 4.61 lakh crore as of March 2026 from Rs 74.738 crore in March 2022, while other personal loans' outstanding stood at Rs 17.32 lakh crore as of March 2026 compared with Rs 902 lakh crore in March 2022, data shared in Parliament on Monday (August 10) showed.

While the risks to the Indian financial system from household lending remain contained, the Reserve Bank of India (RBI) has flagged household debt accumulation, particularly among lower-rated borrowers, as requiring "close monitoring". Gross NPA ratios stood at 0.7% in secured retail loans and 1.7% in unsecured retail loans at end-March 2026. The "exposure to these sectors requires close monitoring as

• Non-food bank credit, outstanding personal loans (March-end)

	2022	2023	2024	2025	2026
Personal Loans	34,66,075	41,82,767	53,46,691	59,71,696	69,39,750
Consumer Durables	17,834	20,985	23,445	23,201	21,962
Housing*	17,38,479	19,91,164	27,18,712	30,10,477	33,55,963
Education	83,693	96,482	1,19,380	1,37,456	1,55,824
Vehicle Loans	4,04,756	4,87,597	5,73,391	6,22,793	7,38,678
Loans against gold jewellery	74,738	89,370	93,301	2,06,284	4,61,373
Other Personal Loans	9,01,595	11,62,345	14,27,872	15,35,197	17,31,838

NOTE: FIGURES IN RS CR. SOURCE: RBI

* INCLUDING PRIORITY SECTOR HOUSING

risks to asset quality could increase, especially if overall economic conditions weaken due to the West Asia conflict and impact borrower cash flows", the RBI had said in its latest Financial Stability Report.

Unsecured personal loans remain a particular vulnerability. In the small-ticket personal loan segment of less than Rs 50,000, fintech firms have gained a higher 56.8% market share, after strong 41.6% credit expansion, well above the overall segment growth of 20.1%. Delinquencies stood at 6.4% as of March 2026. About 70.5% of fintech loan books are unsecured, with roughly half of these loans extended to borrowers under 35. As per the latest CIBIL TransUnion data, the share of India's credit-eligible population that is credit-active has risen from 11% about a decade ago to around 28% now.

Of the credit-eligible population of 890 million, close to one-third have, over the last year, taken a loan or have a loan running, or are paying EMIs on credit card bills. Almost half of this credit-active population has a consumption loan — credit card, personal loan, or consumer durable loan — while nearly 10% have an entrepreneurial loan or business-oriented loan.

The number of credit-active consumers with consumption loans and business loans grew fourfold and tenfold, respectively, between 2017 and 2024, TransUnion CIBIL data showed. Consumption borrowing has been driven substantially by younger consumers, including Gen Z, often with repayment tenures of less than three years.

"What we need to continue

ously monitor is that while encouraging credit growth, are we incentivising need-based credit. The other thing is the ability to pay, especially in certain segments such as younger borrowers where the leverage has gone up. In the case of consumption loans, for instance, the lender cannot be in a position to fully qualify income information and if on account of the increased leverage, the consumer is in a situation to pay or not," an executive with a credit bureau said.

The share of over-leveraged consumers rose threefold — from 5% in FY17 to 15% in FY24 — before easing marginally to 15% in FY26 after industry intervention, with excessive borrowing concentrated among younger consumers. Their share in the country's credit-active base has increased from 33% in 2017 to 39% in 2026.

Even as unsecured retail lending has moderated — it forms 25% of retail loans and 8.3% of gross advances — its asset quality has weakened relative to the overall retail portfolio. Its gross non-performing asset ratio stood at 1.8% vis-à-vis 1.2% in March 2025, with stress particularly visible in private sector banks.

The trend suggests a growing propensity to incur debt for immediate consumption rather than asset creation. Outstanding credit card debt crossed Rs 3 lakh crore last fiscal, while delinquencies — payments overdue between 90 and 360 days — rose more than 40% year-on-year, as per the data from CRIF High Mark, an RBI-registered credit bureau.

FULL REPORT ON

WWW.INDIANEXPRESS.COM

Gen Z's Buy-Now, Pay-Later Habit Fuelling Unsecured Loans

Prepaid Payment Instrument (PPI)

A Prepaid Payment Instrument (PPI) is a financial instrument that allows a person to load money in advance and use it for making payments to merchants or transferring funds. PPIs are issued by banks or non-banking financial companies (NBFCs) and are regulated by the Reserve Bank of India (RBI).

Types of PPIs:

1. **Closed System PPIs** – Usable only for merchant-specific transactions (e.g., gift cards). (no need of prior approval of RBI)
2. **Semi-Closed System PPIs** – Can be used at multiple merchants but cannot be redeemed for cash. Examples: PhonePe, Paytm wallet.
3. **Open System PPIs** – Can be used for all merchant payments, ATM withdrawals, and fund transfers.

First Loss Default Guarantee

FLDG is a lending model between fintech firms and their partner banks and non-banking finance companies where the initial hit on a default is taken by the fintech firm that originated the loan.

Gen Z's Buy-Now, Pay-Later Habit Fuelling Unsecured Loans

- **Buy Now Pay Later is a short-term financing model that allows consumers to make a purchase instantly and defer the payment to a later date, typically in interest-free installments or a lump sum.**

The Trend

- **India's household debt has surged in recent years, with financial sector regulators particularly concerned about its composition : non-housing retail loans, largely used for consumption, now account for more than half of household borrowings.**
- **As of March 2026, non-housing retail loans constituted 58.4% of households' total borrowings, up from 54.9% in March 2025; average outstanding debt per borrower rose to ₹4.78 lakh as of March-end 2026, from ₹3.41 lakh as of March-end 2018.**

'Dangerous Misinformation': Experts Decry AI Wildlife Visuals



A Tapirus elgae deer on a tree in the Bulang forest in Indonesia's North Sumatra. AFP

'Dangerous misinformation': experts decry AI wildlife visuals

Agence France Presse

The black-and-white image appears to show the unlikely of interactions: an orangutan trading endangered leopard cubs deep in the jungles of Sumatra's habitat state. But the viral image is just unlikely, it is false, part of a trend of wildlife images generated by artificial intelligence that experts warn endangers animals and people.

Fact-checkers have debunked scores of similar synthetic visuals, from an elephant climbing a tree to escape flooding in Myanmar to a pink dolphin leaping out of water in the Philippines. They may seem more like the benign fiction than dangerous misinformation, but experts warn hyper-realistic visuals of wild animals behaving like pets, or even like humans, can distort public perceptions of wildlife and harm conservation efforts.

"This misunderstanding can lead people to approach animals too closely or interact with them in unsafe ways," Jose Guerrero-Gonzalez, a biology professor at Spain's University of Cordoba, said. He cited a widely reported incident in China's northwest Xinjiang region in January, where a woman was attacked by a rare snow leopard after trying to get closer for a photo.

China's forestry department said it stepped up patrols after the incident and warned the public to maintain a safe distance when encountering wild animals.

Conservationists say AI visuals portraying wild animals as cute or cuddly make it harder for social media users to discern what is real and can fuel exploitation. They increase demand for certain species "to be used in the tourism industry as photo props, exploited to make social media content or to be kept as pets", said Chris Lewis, a researcher at the international wildlife charity Born Free.

And while the visuals could encourage some people to support animal protection, "the negative impacts outweigh that completely," said Jenny Roberts of conservation group WWF. "People could get hurt", she said.

WWF uses real images for its fundraising efforts, but the fake content online "desensitises" people to even the most incredible original visuals, she said. "When you do have something remarkable, people question it," Roberts said, recounting an incident where a camera trap set up by her charity captured a tiger with five cubs in China. Such footage had never been filmed before in the East Asian country, she said, "but when we put the content out there, we were questioned in social media: 'Is this AI-generated?'"

A September study in the journal Conservation Biology, co-authored by Guerrero-Gonzalez, concluded that the rapid spread of AI misinformation and its potential to harm environmental efforts is a "major threat" to society. The researchers highlighted another challenge for those working in conservation: AI images "could affect the ability of people to identify species" and cause misunderstandings about the abundance and distribution of wildlife.

Scientists often mine data from citizen science platforms that accept photos and recordings of wildlife submitted by users. But AI generation and manipulation could lead to flawed research, several experts warned in a recent commentary in the journal Nature.

Meta, Facebook's parent company, and TikTok require users to label realistic visuals that have been generated or significantly altered using AI. They also say their platforms have tools that automatically label content as AI-generated. However, fact-checkers spotted multiple wildlife posts without clear labels.

'Dangerous Misinformation': Experts Decry AI Wildlife Visuals

- **The Trend**

- A viral black-and-white image showing an orangutan cradling endangered leopard cubs in Malaysia's Sabah state is fake part of a growing trend of AI-generated wildlife images that experts warn endanger both animals and people.

- **Why It's Dangerous**

- Hyper-realistic visuals of wild animals behaving like pets or humans can distort public perceptions of wildlife and harm conservation efforts, encouraging people to approach animals too closely or interact with them unsafely.
- Experts cite a widely reported incident in China's Xinjiang region in January, where a woman was attacked by a rare snow leopard after trying to get close for a photo.

- **Impact on Conservation and Research**

- AI visuals portraying wild animals as cute or cuddly make it harder for social media users to discern what is real, increasing demand for certain species to be used as tourism photo props, exploited for content, or kept as pets.

- **The Research and Platform Response**

- A September study in Conservation Biology concluded that the rapid spread of AI misinformation is a 'major threat' to society, warning it could affect people's ability to identify species and cause misunderstandings about wildlife abundance.
- Meta and TikTok require users to label realistic AI-generated visuals and claim automatic detection tools exist, but fact-checkers have spotted multiple wildlife posts without clear labels.

'Dangerous Misinformation': Experts Decry AI Wildlife Visuals

- **Orangutans, widely recognised for their distinctive red fur, are considered to be the largest tree-dwelling mammals. They are primarily arboreal, spending over 90% of their waking hours in trees.**
- **Orangutans are highly intelligent and share 96.4% of their genes with humans, making their conservation even more significant.**
- **Distribution: They inhabit the Indonesian island of Sumatra and the Malaysian and Indonesian parts of Borneo.**
- **Species: There are three species of orangutans: Bornean, Sumatran, and Tapanuli.**
- **Conservation Status: All three species of orangutans are listed as 'Critically Endangered' on the IUCN Red List.**
- **Lifespan: Orangutans can live up to 50 years in the wild.**

'Dangerous Misinformation': Experts Decry AI Wildlife Visuals

Which one of the following makes a tool with a stick to scrape insects from a hole in a tree or a log of wood?

1. Fishing cat

2. Orangutan

3. Otter

4. Sloth bear

Legal Aid Defence Needs Reform, Not Retreat



MADHURIMA DHANUKA

THE NATIONAL Legal Services Authority of India (NALSA) recently directed the non-renewal of contracts of the Legal Aid Defence Counsels (LADCs) engaged by legal services institutions across India. The LADC Scheme is India's experiment with establishing a more robust and competent public defence system, providing quality legal representation in criminal cases to those unable to afford private lawyers. The direction followed representations from Bar Associations in Punjab, Haryana, Himachal Pradesh and Chandigarh. Concerns have been raised that LADCs are creating a parallel criminal bar, impeding the inde-

Legal aid defence needs reform, not retreat

pendence of the legal profession and affecting the livelihoods of practising advocates.

These concerns should be viewed in light of a number of factors. For 2025-26, the NALSA dashboard on LADCs reports that 4,86,354 cases were assigned to LADCs, including 1,88,878 bail cases. Compared with the overall criminal caseload reflected in the National Judicial Data Grid (NJDG), these constitute a small proportion. The NJDG indicates that 24,68,339 criminal cases were instituted in a single month, which roughly translates to 2.96 crore criminal cases in a year. Against this, the 4.86 lakh cases assigned to LADCs represent approximately 1.6 per cent of criminal cases instituted. The numbers raise a basic question: Where is the threat to private criminal practice?

To see quality legal services as a threat to private lawyers is quite simply a lost oppor-

tunity to raise the bar. If private lawyers feel a more structured legal aid system threatens their work, perhaps it is an opportunity for introspection. One reason for the popularity of LADCs is the diligence with which many undertake their work — prompt appearances at production and remand hearings; filing appropriate and timely petitions challenging violations of procedural law and protecting their client's rights. The traditional

The 4.86 lakh cases assigned to LADCs represent approximately 1.6 per cent of criminal cases instituted. The numbers raise a basic question: Where is the threat to private criminal practice?

assigned-counsel system, where private lawyers are empanelled to provide free legal aid, has often been criticised for missing hearings, delayed applications and complaints regarding fees paid by the state.

The interests of lawyers must be balanced against the fair trial rights of the accused. But a functioning system of legal representation should not be reconsidered without first asking what it has achieved and where it needs improvement.

This brings us to another concern — the interim arrangement for assigning legal-aid matters to young lawyers. Are young and relatively inexperienced lawyers equipped to undertake a full range of criminal defence work, including trials? Criminal defence requires experience in case preparation, cross-examination, bail and remand proceedings, trial strategy and navigating the

criminal justice system. Those unable to afford private lawyers should not become a testing ground.

Concerns around the LADC system must therefore be examined against evidence. There has, as yet, been no national assessment of the LADC system. Discontinuing or stalling a scheme, duly adopted and implemented by a statutory body, without an assessment and consideration of its impact on ongoing cases, is an injustice to the legal-aid system itself. If the LADC system has demonstrated that dedicated lawyers, institutional oversight and accountability can improve the quality of criminal defence, the response should be to learn from it — not dismantle it.

The writer is a lawyer and expert on criminal justice reforms, legal aid and pre-trial detention

Legal Aid Defence Needs Reform, Not Retreat

- The NALSA was founded in 1995 under the Legal Services Authorities Act of 1987 to monitor and review the effectiveness of legal aid programs and to develop rules and principles for providing legal services under the Act.
- It also distributes funding and grants to state legal services authorities and non-profit organisations to help them execute legal aid systems and initiatives.
- National Level: NALSA was constituted under the Legal Services Authorities Act, 1987. The Chief Justice of India is the Patron-in-Chief.
- State Level: State Legal Services Authority. It is headed by the Chief Justice of the State High Court who is its Patron-in-Chief.
- District Level: District Legal Services Authority. The District Judge of the District is its ex-officio Chairman.
- Taluka/Sub-Division Level: Taluka/ Sub-Divisional Legal Services Committee. It is headed by a senior Civil Judge.
- High Court: High Court Legal Services Committee
- Supreme Court: Supreme Court Legal Services Committee

Legal Aid Defence Needs Reform, Not Retreat

- **Who is Eligible for Getting Free Legal Services?**
 - **Women and children**
 - **Members of SC/ST**
 - **Industrial workmen**
 - **Victims of mass disaster, violence, flood, drought, earthquake, industrial disaster.**
 - **Disabled persons**
 - **Persons in custody**
 - **Those persons who have annual income of less than the amount prescribed by the respective State Government, if the case is before any court other than the Supreme Court, and less than Rs. 5 Lakhs, if the case is before the Supreme Court.**
 - **Victims of Trafficking in Human beings or begar.**

Legal Aid Defence Needs Reform, Not Retreat

Q. With reference to National Legal Services Authority, consider the following statements: (2013)

1. Its objective is to provide free and competent legal services to the weaker sections of the society on the basis of equal opportunity.
2. It issues guidelines for the State Legal Services Authorities to implement the legal programmes and schemes throughout the country.

Which of the statements given above is/are correct?

- (a) 1 only
- (b) 2 only
- (c) Both 1 and 2
- (d) Neither 1 nor 2

Ans: (c)

Legal Aid Defence Needs Reform, Not Retreat

In India, Legal Services Authorities provide free legal services to which of the following types of citizens?

- 1. A person with an annual income of less than Rs.1,00,000**
- 2. Transgender with an annual income of less than Rs. 2,00,000**
- 3. Member of Other Backward Classes (OBC) with an annual income of less than Rs. 3,00,000**
- 4. All Senior Citizens**

Select the correct answer using the code given below:

This question was previously asked in

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1. 1 and 2 only

2. 3 and 4 only

3. 2 and 3 only

4. 1 and 4 only

Why Adivasis Are Resisting the Ken-Betwa River-Linking Project

Why Adivasis are resisting the Ken-Betwa river-linking project

Currently affected villagers who were 18 years or older in February 2024 are eligible to receive ₹12.5 lakh in compensation and ₹5 lakh per acre of acquired land. However, the villagers say, "We want a forest for our forest, land for our land, water for our water, and a village for our village."

Rishwan Rahuman
columnist@thehindu.com

Evening had fallen over Daudhan village in Madhya Pradesh's Bundelkhand region. A soft heat distance as the dumptrucks and heavy machines left alone.

Inside the khatra (small house), Munni Lal sat chatting with his neighbours. About 500 m away, construction work on the Daudhan dam, across the Ken river, continued. The dam is the main part of the Ken Betwa river-linking project.

"If we leave here, we will not find this kind of life anywhere. Let us humans spend the whole life here. We are being uprooted," Munni Lal said. "Do khatra khatra khatra! (Who will we call khatra in the new place?) Here will we speak our language in a new village? How will we make ourselves at home there? Our hearts belong here."

Ken and Betwa

His village, Daudhan, where around 700 people live, is among those affected by the river-linking project. Once completed, the dam will submerge 10 villages, including Daudhan. Since the project falls within the Panna Tiger Reserve, the people of another 12 villages will be displaced, to offset the loss of forest area. In all, 22 villages across Panna and Chhatarpur districts will be affected.

The Union Cabinet approved the interlink in 2023 to transfer "surplus" water from the Ken river to the Betwa river through a 220 km long canal, mainly for irrigation and raising in the water-stressed districts of Bundelkhand.

Bundelkhand spans 12 districts in Madhya Pradesh and Uttar Pradesh. Known for its heavy folklores, the region has also been in the news for being one of India's driest and most impoverished areas.

Both the Ken and the Betwa flow through the region. The Ken originates in the Vindhyan plateau, flows mainly through Madhya Pradesh, and the Betwa in lands in Uttar Pradesh. The Betwa also originates in the Vindhyan and flows primarily through Uttar Pradesh before meeting the Yamuna in Hamirpur.

But in the villages affected by river linking, conversations from morning until late into the night revolve around displacement, compensation, rehabilitation, and the loss of their forests and farmlands.

"We will go together"

The villages and necessary compensation cannot replace what they are losing. "We want a forest for our forest, land for our land, water for our water, and a village for our village," Jayanti Bai, of Mauneri village, said.

Currently affected villagers who were 18 years or older in February 2024 are eligible to receive ₹12.5 lakh in compensation and ₹5 lakh per acre of acquired land. However, Mr. Lal said most Adivasi families do not have patta land.

50-year-old Sita Rani sits inside her house in Daudhan talking about the future and what the project will take away.

"We have been living along the Ken. This is our jaman (home) (the place). Why should we leave?" she said. "Our faith is being lost. Dharti Mata (Mother Earth) is being taken away. We do not want to leave our Ken and our forest, but the government is forcing us and not meeting our demands."

"If the government is neglecting us, we want a village like ours," Roatan, an Adivasi of Mauneri, one of the villages threatened by displacement, said. "But as we are living together, we will go anywhere. We will not go separately. Otherwise, we will not be for the dam to be built."

Narali village, home to around 100 people, is located on a hill and is inhabited mostly by the Gond community. Unlike others, it does not fall within the submergence zone, yet its people face the same consequences. At the edge of the settlement, a forest begins, with muska, olive, and other forest produce sustaining the people.

"We want these same trees, this same muska," Renu Bai, 53, of Narali village, said as she worked with other women collecting forest produce. "Here, we collect churma, muska, muska leaves, and gaj gholanda, and manage our expenses. What will we do after going outside? The women around her agree. "Give us our churma and muska. Otherwise, we will not leave."

One of them, Rati Bai, says, "How we become so bad in the eyes of the



From top: Villagers protest on the banks of the Betwa river for people protesting against the Ken-Betwa river-linking project in July 2024. Adivasis affected by the project build a Gita Andolan (gita protest) in Chhatarpur on April 10. Total families affected by the Ken-Betwa river-linking project stage protest on the Betwa river in April. (The hindu)

People don't want to be displaced but when the project is moving ahead, an immediate, sensible dialogue on resettlement and rehabilitation between government and the people who are united and organised is a must. That is not happening.

No place left this

Kalla, 70, and his joint family depend on some three acres of land and forest resources in Khairathi village. His voice resonates as he speaks looking at the trees he planted, of mango, ber, khatra, and teak.

"Takes humare dya paripatra (the ancestors settled here), and we are left craving our own rights. I planted trees with my own hands. But now Panna will take me, what will you get? Your land is going to submerge."

People are now living with the reality that the forest and river they call home may soon become just another site of development.

Nemi, a 20-year-old Adivasi originally from Narali village and married in Daudhan, cannot imagine a life elsewhere. "In the everything here," she says. "We will never find a place like this, even in India."

Rishwan Rahuman is an independent journalist.

displaced and made homeless," she continued. "People don't want to be displaced but when the project is moving ahead, an immediate, sensible dialogue on resettlement and rehabilitation between government and the people who are united and organised is a must. That is not happening."

Land and houses

According to a 2014 forest authority committee report, the detailed project report estimates that 1 lakh trees will be felled. Some experts have, however, said this is an underestimation.

In July, villagers again lay on symbolic pyres and went on a hunger strike at the Betwa river following a similar protest in April. After 5 days, the police cleared the protest site.

Mr. Bhattacharya, the leader of the movement, said the administration had promised a dialogue with representatives of the Centre but no such conversation took place. "If our demands had been accepted, why would we have continued protesting?" he asked. He also alleged that houses in some villages were demolished without adequate notice or compensation.

In April, villagers demanded a joint survey of land and houses, ₹2 lakh in compensation per individual, four times the value is compensation for the land, and an April 2024 deadline. By the July protest, the demands had shifted to three acres of land jointly in the names of male and female family heads, a village for the displaced village, and the river deadline.

The Chhatarpur District Magistrate in April, Farah Jaleel, said most of the demands raised during the April protests had been addressed. However, neither the current District Magistrate, Murali Sharma, nor the CEO of Gita Khatra, Nandhi Shrivastava, responded to multiple requests for comment. An email sent to the Principal Secretary of the Madhya Pradesh Revenue Department, which oversees land acquisition, had not elicited a reply at the time of publishing.

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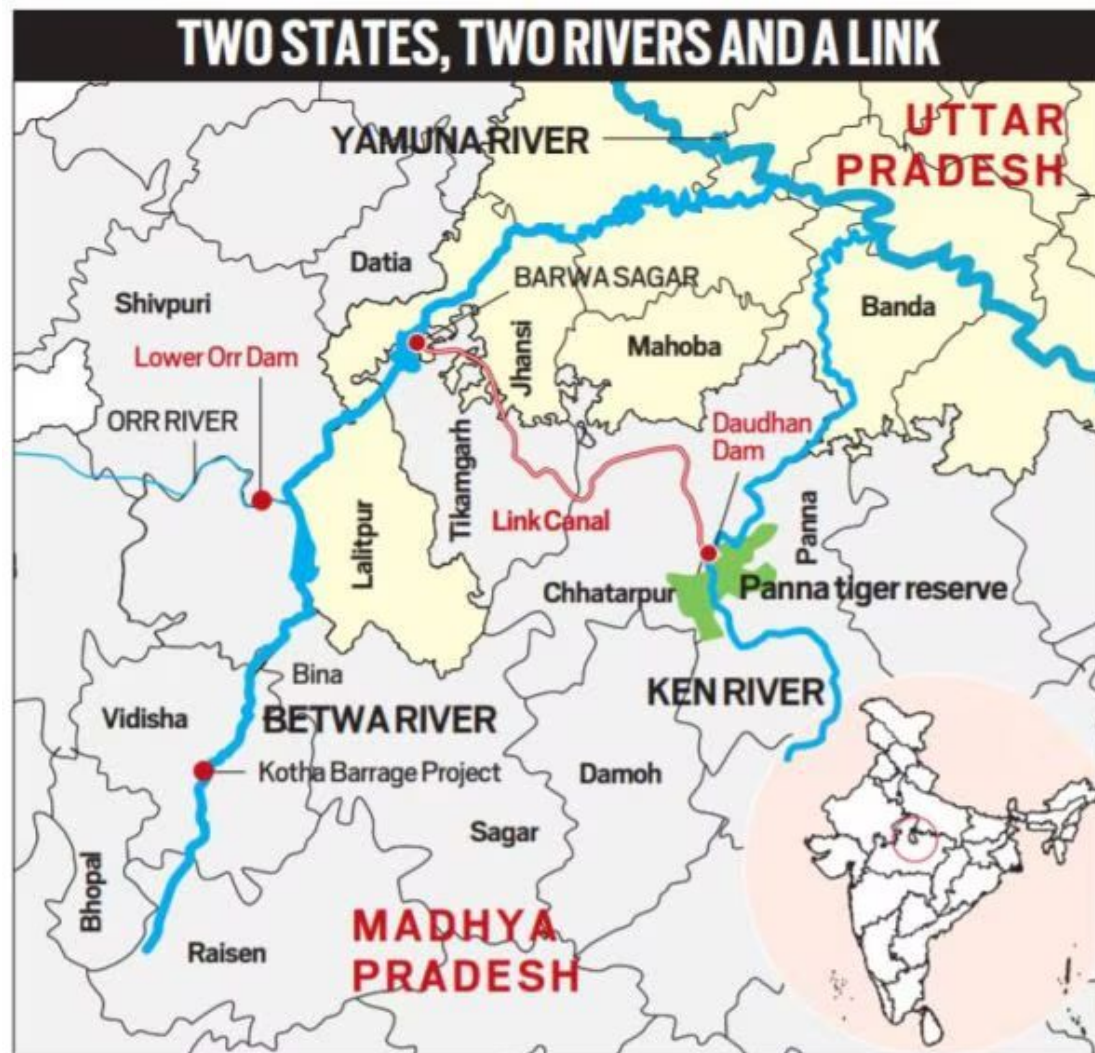
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Rishwan Rahuman is an independent journalist.

Why Adivasis Are Resisting the Ken-Betwa River-Linking Project

- **The Ken-Betwa River Linking Project is India's first river-linking project and the first of 30 proposed links under the National Perspective Plan, formulated in 1980.**
- **It aims to transfer surplus water from the Ken River in Madhya Pradesh to the Betwa River in Uttar Pradesh, both of which are tributaries of the Yamuna.**
- **Bundelkhand is a drought-prone geographical region spanning parts of Madhya Pradesh and Uttar Pradesh. The project seeks to improve drinking-water availability, provide reliable irrigation, support agricultural and regional development and reduce distress migration.**
- **The project has raised concerns regarding its impact on the Panna Tiger Reserve**

Why Adivasis Are Resisting the Ken-Betwa River-Linking Project



Black Money in Elections Hampers Democracy, Says SC

Black money in elections hampers democracy, says SC

Krishnadas Rajagopal
NEW DELHI

The Supreme Court observed in a judgment on Monday that ridding the electoral process from the influence of black money is a responsibility of the Election Commission of India (EC). "Black money in the electoral process is one such aspect that compromises democracy, rule of law and the electoral process itself," a judgment authored by Justice Sanjay Karol noted.

The top court called for timely investigations and conclusion of criminal cases relating to recovery of ill-gotten money during elections.

The court cautioned that "any external factors that may influence this exercise of choice have the ability to compromise the very essence of democracy".

"Black money in the electoral process i.e. the issue with which we are herein concerned, is one such aspect that compromises democracy, rule of law and the electoral process itself," the Bench said.

Referring to seizure of cash and assets during the election process, the Bench further said: "The authority affecting the seizure must, within 24 hours, report the same to the District Magistrate/Additional District Magistrate/Court



The SC passed the order on a plea filed by the Karnataka government.

having competent jurisdiction along with written reasons disclosing the *prima facie* nexus between the cash or other asset seized and the suspected electoral offence."

Justice Karol directed that when FIRs are registered, the investigation officer (IO) entrusted with the probe has to make every possible endeavour to complete it within a year. "If this timeline is exceeded, reasons therefore shall be recorded and communicated to the EC," the Bench said. The order was passed by the Bench on a plea filed by the Karnataka government related to the 2014 Lok Sabha polls, where large-scale black money was seized during elections in Bellary district.

Asking the Election Commission and State governments to file a compliance affidavit by November 18, the Bench directed the IO to submit a quarterly status report regarding the investigation to the electoral body.

Black Money in Elections Hampers Democracy, Says SC

- **What is Black Money**
 - The simplest definition of black money could possibly be money that is hidden from tax authorities.
- **Source of Black Money:**
 - It can come from two broad categories:
 - **Illegal Activity:**
 - Money that is earned through illegal activity is obviously not reported to the tax authorities, and so is black.
 - **Legal but Unreported Activity:**
 - The second category comprises income from legal activity that is not reported to the tax authorities.

Black Money in Elections Hampers Democracy, Says SC

Which one of the following effects of creation of black money in India has been the main cause of worry to the Government of India?

This question was previously asked in
**UPSC Civil Services Exam
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1. Diversion, of resources to the purchase of real estate and investment in luxury housing
2. Investment in unproductive activities and purchase of precious stones, jewellery, gold, etc
3. Large donations to political parties and growth of regionalism
4. Loss of revenue to the state Exchequer due to tax evasion

Thank You